MUTUAL FUNDS

The key consideration while investing in a mutual fund are *safety*, *liquidity*, and *return.* Safety is assured when investors are able to get back their money. Liquidity enables investors exit the fund any time. There are no assured returns from mutual funds and they vary with the scheme under each fund. The schemes are structured to suit the risk-bearing capacity of unit holders and the nature of deployment of funds by the various schemes.

The structure of mutual funds is governed by the Securities and Exchanges Board of India under the SEBI (Mutual Fund) Regulations 1996. These regulations make it mandatory for mutual funds to have a three-tier structure–a sponsor, a trustee, and an asset management company (AMC). The sponsor is the promoter of the mutual fund and appoints the trustees. The trustees are responsible to the investors in the mutual fund and appoint the AMC for managing the investment portfolio.

The AMC is the business face of the mutual fund, as it manages all the affairs of the mutual fund. The mutual fund and the AMC have to be registered with the SEBI. SEBI regulations also provide for who can be a sponsor, trustee, and AMC, and specify the format of agreements between these entities. These agreements provide for the rights, duties, and obligations of these three entities.

Mutual funds are the preferred route for investors, particularly small and retail investors, who do not have the knowledge or time to directly trade in the equity and debt markets. The funds are managed by qualified investment professionals and other service providers who are paid for their services. Portfolio diversification, professional management, and, reduced risk are among the myriad advantages of mutual funds.

Mutual funds invest in multiple asset classes, enable continuous evaluation and provide higher flexibility in investment plans.

Investors in mutual funds have a wide choice from an assorted variety of funds and schemes with several products on offer. Competition in the industry has led to innovative changes in standard products by fund houses. The product choice enables investors to choose options that suit their return requirement and risk appetite. They can combine the options to arrive at